Question #1 of 25

Question ID: 1472332

After a recent financial crisis, Ruritania and all of its neighbors except one voted to enact stringent regulations prohibiting 100% mortgage loans. (A 100% mortgage is one where the borrower receives a loan amount equal to the total value of the property.) The Ruritanian government is now concerned that firms may leave Ruritania and base themselves in a country without the stringent regulation. This situation is *best described* as an example of:

A) regulatory arbitrage.

B) regulatory capture.

C) regulatory burden.

Question #2 of 25

Question ID: 1472323

The requirement for firms to carry out an annual independent audit is best described as a regulation implemented to address:

A) externalities.

B) sub-optimal allocation of resources.

C) information asymmetry.

Question #3 of 25

Question ID: 1472336

"Net regulatory burden" is *best* defined as:

A) direct costs of implementation, less private benefits resulting from implementation, plus the indirect cost of changes in economic behavior resulting from implementation.

B) direct costs of implementation, plus the indirect cost of changes in economic behavior resulting from implementation.

C) direct costs of implementation, less private benefits resulting from implementation.

Question #4 of 25

Question ID: 1472334

Which of the following regulatory interventions is theoretically *least* effective?

A) Imposing a punitive tax on the consumption of junk food to cut its consumption.

B) Subsidizing the cost of environmentally friendly projects for small firms.

C) Requiring a company to pay a fine if annual financial statements are not filed in a timely fashion.

Question #5 of 25

Question ID: 1472330

Which of the following statements regarding self-regulating bodies is *least accurate*?

A) FINRA in the U.S. is an example of a self-regulating organization in the financial markets.

B) Self-regulating bodies are recognized by the government.

C) Self-regulatory bodies are private organizations that both represent and regulate their members.

Question #6 of 25

Question ID: 1472335

A review of an existing regulation with a sunset clause has revealed that the net regulatory burden is less than the initial estimates. A possible reason for this is that:

A) private benefits were underestimated.

B) regulatory burden was underestimated.

C) indirect costs were underestimated.

Question #7 of 25

Question ID: 1472326

A Swiss company is looking to acquire their main competitor based in Singapore. This acquisition could create a company that represents 55% of the market share. An analyst following this industry must be aware of potential anti-trust regulatory issues in:

A) Switzerland.

B) Singapore.

C) both Singapore and Switzerland.

RRT is a small democratic country in the South Pacific. Due to advantageous taxation rules it has grown rapidly over the last ten years as an influx of overseas investment gave rise to a significant financial services industry. Tom Wiggins, CFA, covers RRT for the investment firm he works for in the U.S. He correctly predicted RRT's rapid expansion and as a result his monthly research reports are widely distributed.

RRT is now facing a challenging period, however, as a high profile scandal has rocked the finance industry and is likely to lead to a series of sweeping reforms. The scandal centered on the two largest commodity futures exchanges which together processed 98% of commodity derivative transactions in the country. A whistleblower revealed that the market participants had colluded over a period of several years to keep spreads and commissions artificially high. There has also been a significant increase in insider trading cases, and an even more alarming increase in the number of such cases which have failed to result in a successful prosecution.

Regulation of the exchanges had been the responsibility of the Market and Trading Commission (MTC), a government agency which gained its authority from the Fair Market Trading Act (1992), a wide reaching but out-of-date piece of legislation that still governs the market today. The MTC in turn delegates responsibility to several other organizations. The two organizations that have been most heavily criticized as a result of the scandal are the Derivatives Trading Commission (DTC) and the Public Audit Commission (PAC).

The DTC is a self-regulating organization whose quoted mission is to 'protect market participants from abusive practices and promote transparent and competitive markets'. In carrying out this mission, the DTC has the power to prosecute under the Fair Market Trading Act and hand out fines of up to the equivalent of USD 50,000,000, in addition to custodial sentences.

The PAC was established by the previous government as a non-profit organization with the aim of overseeing the audit of all public companies. It is funded through a share of audit fees and staffed directly by the MTC.

The DTC has been criticized for failing to pick up on the market collusion and generally failing to utilize its powers to their full extent. The largest fine it has handed out to date is the equivalent of USD 2,500,000.

The PAC has had a troubled history since its formation. An independent review found that the audits of the companies accused of collusion failed to identify 'clear evidence' of collusion that they should 'reasonably' have been expected to uncover.

The PAC's response was that this kind of 'detective' work was not part of the statutory audit requirements and neither audit opinion was found to have been inappropriate.

The suggested reforms will take the form of a new piece of legislation to replace the Fair Market Trading Act (1992) and shake up the structure of market regulation. The reforms that Wiggins thinks will have the biggest impact if enacted are listed in Exhibit 1.

Exhibit 1– Potential Reforms

Proposal 14a.3 Maximum Spread/Commissions on Futures Transactions

The government has suggested putting a ceiling on spreads and commissions to limit the potential for the two exchanges to exploit their duopoly. Wiggins thinks that the limits are very low and the government may end up having to subsidize losses that the companies may make. His opinion is that the government is using the scandal as an excuse to reduce trading fees and attract trading to the country from overseas.

Proposal 18.d.5 Increased Disclosure Requirements for Hedge Funds and Private Equity Funds

Historically requirements in this area have been limited. New rules will require a large increase in the amount of reporting required for both type of funds, with a fund's prospectus and annual results likely to be subject to an independent audit.

Question #8 - 11 of 25

Question ID: 1586021

Which of the following organizations is most likely to face conflict of interest issues?

A) The Derivative Trading Commission.

B) The Public Audit Commission.

C) The Market and Trading Commission.

Question #9 - 11 of 25

Question ID: 1586022

If Wiggins is correct about the government motivation for Proposal 14a.3 in Exhibit 1, then this is most likely an example of:

A) regulatory competition.

B) regulatory capture.

C) regulatory arbitrage.

Question #10 - 11 of 25

Question ID: 1586023

The disclosure rules being implemented in Proposal 18d.5 most likely suggest that:

A) regulations have historically focused on institutional investors.

B) regulations have historically focused on retail investors.

C) regulations have historically taken a buyer beware approach for retail investors.

Question #11 - 11 of 25

Question ID: 1586024

Which of the following statements is most likely correct regarding the approach a government typically takes to competition?

A) Antitrust laws typically aim to restrict competition from overseas and promote competition domestically.

B) Antitrust laws typically aim to promote competition from overseas and restrict it domestically.

C) Antitrust laws typically aim to restrict competition from overseas and domestically.

Question #12 of 25

Question ID: 1472322

Regulations are *least likely* needed under which of the following situations:

A) A small town is experiencing large inflow of out-of- town visitors constraining street parking.

B) A small privately-held developing 'Apps' seeks equity investors to finance development of additional software.

C) A small investor is investigating a speculative stock and applies an incorrect growth estimate for the company's earnings.

Question #13 of 25

Question ID: 1472325

Which of the following statements is *most accurate* regarding the regulation of security markets?

A) Regulations requiring the insurance of retail deposits at large banks may increase risk-taking incentives for the bank.

B) Most securities markets require investors to transact through intermediaries to reduce potential agency problems.

C) Historically, regulations have focused on large investment schemes such as private equity funds, rather than on retail investors.

Question #14 of 25

Question ID: 1472324

Which of the following is *least likely* to be a purpose of regulating commerce:

A) Protect domestic industries from unfair foreign competition.

B) Restrict unfair competition.

C) Preserve integrity of stock exchanges.

Question #15 of 25

Question ID: 1472329

Self regulating bodies that are recognized by the government and are given regulatory powers:

A) are less effective in carrying out regulatory objectives than are governmental agencies.

B) are common in civil law countries.

C) may be susceptible to political pressures from members.

Calisto is a developed market nation with large natural resources, oil and precious metals, with growing financial markets. Calisto is a stable constitutional monarchy with elected representatives as the legislative body, appointed and legislative-majority approved judges as the judicial body, and the ruling royal family as the executive body.

Calisto is a member of COPA, an alliance of three bordering countries, Calisto, Olaguay, and Peristan, that formed a regional monetary union. The COPA currency is known as the 'copa' with the symbol COP.

As part of Calisto joining COPA Calisto has standardized their regulations and regulatory institutions. Regulatory standardization among the three countries was part of the prerequisite for each to join. The standardization covers most major governmental agencies but does not cover all industries. Calisto anticipates having to bear additional costs and loss of productivity in some of their business sectors. Oil and precious metal extractions are expected to be affected by environmental regulations.

Calisto has adopted the COPA Financial Intermediaries Standards (COPA FIS). COPA FIS covers all financial institutions: (1) commercial banks, (2) exchanges for bonds, stocks, commodities and derivatives, and (3) insurance companies and pension entities. The COPA FIS were rewritten as legislation by Calisto's representatives and passed unanimously as the Financial Intermediaries Standards Act of 2001 (FISA).

Calisto restructured their financial regulatory institutions into three different organizations with each institution serving as government recognized self regulatory organizations (SRO) for oversight and enforcement for the industry.

- Commercial Banking Standards Board (CBSB) – regulates all commercial banking including capital requirements, underwriting standards for loans and investments. Often coordinates policy and procedures with the independent Central Bank of Calisto (CBoC).
- Exchange Trading Commission (ETC) – regulates all exchanges including margin requirements, counterparty stipulations, transactional information, transparency rules and market making standards.
- Insurance and Pension Oversight Committee (IPOC) – regulates all insurance and pension related matters.

One example of an ETC regulation is: All companies listed on the Calistose Stock Exchange are required to furnish audited financial statements on quarterly and annual basis prepared by Calistose accounting firms. The accounting standards of Calisto are a combination of US GAAP and IFRS that is used throughout COPA.

Before ETC rules and regulations, Calisto's equities markets were less liquid. The volume of trades have increased significantly since ETC has become the self regulatory organization for financial markets. More Calistose citizens are buying stocks and listing of both Calistose and foreign stocks has risen significantly over the last ten years (2002 – 2012).

Calisto	2002	2012	2022 (est.)
Population (in millions)	45.8	55.2	65.1
GDP (in $ billions)	$1,240.0	$2,000.0	$3,280.0
Effective Income Tax Rate	19.5%	20.4%	22.5%
Savings rate (average is 10.0%)	10.0%	9.8%	9.5%
Number of listed stocks	120	1200	2400

Calisto has a three tiered progressive income tax rates of 10%/20%/30%. Sales tax rates are 5% on most goods except food items and higher tax rates on snack foods, tobacco, alcohol and luxury imports. Most food items are not taxed. Government revenues are derived from taxes and oil revenues from government owned lands.

Tobacco and alcohol consumption in Calisto has been on the rise over the last years. Over the same time period smoking rates have fallen in Olaguay, and Peristan. Olaguay and Peristan both have higher tax rates on tobacco products, government warnings on tobacco packaging and anti-smoking marketing campaigns. Tobacco companies have purposefully targeted Calisto by lowering prices because of the higher demand. Calisto government health leaders will combat the higher smoking rates by adopting similar measures of their COPA members or creating a COPA regional policy.

Fines and penalties for insider trading are prohibitive high. Individuals who are fiduciaries and represent financial firms who are caught for insider trading can face more severe punishment for themselves and their firms.

Question #16 - 19 of 25

Question ID: 1586026

What type of regulation is the Financial Intermediaries Standards Act of 2001 (FISA)?

A) A statute.

B) An administrative regulation.

C) A judicial law.

Question #17 - 19 of 25

Question ID: 1586027

A possible economic rationale for Calistose increase in demand for equities is that the regulation intervention has lowered:

A) the savings rate.

B) externalities of public goods.

C) informational friction.

Question #18 - 19 of 25

Question ID: 1586028

The differences in the consumption of tobacco is *most likely* a result of:

A) using pricing mechanisms.

B) regulatory capture theory.

C) regulatory arbitrage.

Question #19 - 19 of 25

Question ID: 1586029

Which industry could possibly benefit from Calisto's regulatory changes?

A) Accountancy.

B) Oil.

C) Tobacco.

Question #20 of 25

Question ID: 1508657

Maldovia is a rapidly growing emerging market economy. To boost the level of capital per worker, the government allows for higher-than-previously allowed levels of depreciation expense for tax purposes on new equipment lowering the effective cost for the business.

This is an example of:

A) a provision of public good/financing private project regulatory tool.

B) a price mechanism regulatory tool.

C) requiring certain activity regulatory tool.

Question #21 of 25

Question ID: 1472328

Gordon Futona is evaluating the regulatory burden faced by a company he follows as an equity analyst. Futona makes the following two statements:

Statement 1	Prudential supervision is a regulatory tool governments may use to limit potential financial contagion.
Statement 2	Antitrust regulation may prevent two companies from merging, but has no power over the pricing policies of firms.

Which of Futona's statement(s) are correct?

A) Statement 2 only.

B) Both statements are correct.

C) Statement 1 only.

Question #22 of 25

Question ID: 1472338

Regarding the impact on industry of regulation, regulation is *least* likely to:

A) reduce inefficiencies in the industry.

B) benefit the industry being regulated.

C) increase the size of an industry.

Question #23 of 25

Question ID: 1472327

Dan Garbutt is studying the burden of regulation that companies in Eglaria, a developing country in Europe, face. He has identified the following regulatory body that he feels places a large regulatory burden on the economy.

> *The Independent Auditing Review Panel (IARP)*
>
> *The IARP is recognized, but not funded by, the government of Eglaria. Funding is via a charge added to the mandatory annual audit for all public companies operating in Eglaria. The IARP's role is to ensure that audits are carried out to a high and consistent standard, and it has the power to revoke the auditing license of any company which it feels is not up to standard. The IARP is run by a board of ten members from a wide range of backgrounds, none of whom are licensed auditors.*

The IARP is *best* described as a:

A) self-regulating organization

B) government agency

C) independent regulator

Question #24 of 25

Question ID: 1472331

To combat childhood obesity, the city of San Francisco, CA banned fast food restaurants to bundle free toys with kids menu choices deemed unhealthy. The restaurants simply allowed customers an option to purchase toys at an insignificant cost in lieu of including it free.

This is an example of:

A) Regulatory failure

B) Regulatory capture

C) Regulatory arbitrage

Question #25 of 25

Question ID: 1543897

Maldovia, an emerging market country in Latin America has joined a trade alliance. To comply with the terms of the alliance, Maldovian government is reducing farm subsidies and increasing taxes on environmentally unfriendly business practices in industrial waste treatment and mining industries.

Due to these changes, which Maldovian industries are *least likely* to shrink?

A) Airline

B) Food processing

C) Mining